

Table 2: Mean excess returns of ten portfolios sorted on duration

	Low Dur	D2	D3	D4	D5	D6	D7	D8	D9	High Dur	D1-D10
<i>Panel A: mean-excess returns and CAPM</i>											
Mean	1.39	1.17	1.06	1.02	0.98	0.91	0.77	0.74	0.60	0.27	1.11
SE	0.25	0.23	0.22	0.22	0.22	0.22	0.23	0.24	0.28	0.33	0.19
β_{CAPM}	1.12	1.11	1.12	1.14	1.15	1.16	1.22	1.28	1.38	1.44	-0.32
SE	0.04	0.03	0.03	0.03	0.02	0.02	0.03	0.03	0.04	0.05	0.04
α_{CAPM}	0.74	0.53	0.41	0.36	0.32	0.24	0.07	0.00	-0.20	-0.56	1.29
SE	0.16	0.14	0.12	0.12	0.11	0.11	0.11	0.12	0.16	0.23	0.18
<i>Panel B: monthly Sharpe ratios</i>											
Sharpe ratio	0.21	0.19	0.17	0.17	0.16	0.15	0.12	0.11	0.08	0.03	0.22
<i>Panel C: value-weighted returns</i>											
Mean	0.87	0.84	0.71	0.81	0.67	0.59	0.59	0.66	0.60	-0.04	0.91
SE	0.22	0.20	0.19	0.18	0.17	0.17	0.17	0.18	0.22	0.27	0.21

Notes: Equal-weighted sample covers July 1964 to June 2025 (732 months). Value-weighted sample covers July 1964 to June 2025 (732 months). Returns, alphas, and standard errors are monthly percentages; betas and Sharpe ratios are decimals.